Sycamore Square — Feasibility Study: Landlord View

Oct 18, 2026 ·

Summary

At realistic Memphis rents, converting the whole building costs about $17.7M all-in and earns about $0.87M a year once leased. That is a 4.9% return on cost, and the finished property would be worth about $10.6M. The full program creates value only in the best case. The realistic case loses about $7M of value, and the worst case loses about $23M.

	Worst	Realistic	Best
All-in project cost	$27.12M	$17.73M	$10.66M
Cost per building SF	$212	$139	$83
Net operating income once leased	$0.41M	$0.87M	$1.32M
Yield on cost	1.5%	4.9%	12.4%
Exit cap rate	9.00%	8.25%	7.50%
Value once leased	$4.55M	$10.56M	$17.55M
Value minus cost	−$22.57M	−$7.17M	+$6.90M
Equity needed	$12.20M	$7.09M	$3.73M
Debt coverage (DSCR)	0.31x	0.95x	2.32x
10-year IRR, unlevered	−12.6%	1.1%	14.7%
10-year IRR, levered	negative	−8.3%	22.0%

The landlord leases space and collects rent. It does not run the halls, play center or fuel station; those businesses are tested in the companion operator study. The purchase price is a planning input . The property is listed for a Ten-X online auction is currently 0% occupied.

What this points to

- **Do not price the purchase off the full program.** At realistic rents, project cost would have to fall to about $8.7M all-in to earn a 10% yield on cost. That is less than half of today's $17.7M estimate.
- **Get the flood answer before bidding, if the auction terms allow it.** The elevation certificate is the single biggest swing: about $1.9M of floodproofing cost and its knock-on soft costs. Ten-X sales usually close quickly without a due-diligence contingency; check the auction purchase agreement.
- **Phase the work and make operators fund their own fit-out.** Even with every lever pulled, the realistic case reaches 7.2% (shown under Risks). That beats a plain as-is re-lease (about 6.0%) but is still thin.
- **The upside is real but needs strong leasing.** The best case pairs a lower price and no flood work with full leasing at upper-market rents. It is worth about $6.9M more than it costs.

What the landlord leases

The landlord holds the land and the 127,634 SF building, and leases six parts. Leases are triple-net: tenants also repay their share of property tax, insurance and common-area costs.

Part	Leasable area	Tenant	Lease type and term
Retail shops	31,500 SF (90% of 35,000 SF gross)	20–25 local tenants	NNN, 5 years
Flex	25,559 SF (95% of 26,904 SF gross)	Service, showroom, light industrial	NNN, 5 years
Event halls	47,730 SF: Hall A, Hall B, kitchens, dining, support	One event operator	NNN, 10 years
Kids' recreation	18,000 SF	One recreation operator	NNN, 10 years
Fuel pad (F1 frontage)	Ground only	Fuel operator builds and owns the station	Ground lease, 15–20 years
Summer Avenue pad (5810)	Ground only	Quick-service restaurant	Ground lease; best case only

Two things are deliberately left out. The landlord study does not count the halls' or play center's sales, only the rent they pay. And it does not sell the outparcels; the offering allows up to three, which would raise cash but remove ground rent.

Development budget

Base-building work runs $4.8M to $15.5M. Flood mitigation, roof and HVAC drive most of the spread. The landlord delivers a working shell: roof, HVAC, fire protection, restroom cores, storefronts, entrances, parking and flood work. Tenants pay for their own finishes beyond the allowances shown. Costs are 2026 dollars; the Memphis location factor is about 0.89 of national averages.

	Worst	Realistic	Best
Closing and due diligence	$270k	$175k	$121k
Roof	$1,591k	$928k	$265k
HVAC (rooftop units)	$1,250k	$924k	$600k
Sprinkler changes	$511k	$383k	$255k
Fire alarm	$383k	$255k	$191k
Interior demolition	$638k	$447k	$319k
22 storefront openings	$990k	$704k	$484k
Hall and play-center entrances	$1,000k	$600k	$350k
Retail and flex demising walls	$929k	$681k	$495k
Restroom cores	$1,200k	$800k	$500k
Electrical service and meters	$900k	$600k	$350k
Plumbing, sewer, grease	$400k	$250k	$150k
Parking lot	$1,525k	$573k	$374k
Lighting, landscaping, signs	$600k	$400k	$250k

	Worst	Realistic	Best
Exterior refresh	$600k	$400k	$250k
Flood mitigation	$3,000k	$1,500k	$0
Base-building hard cost	**$15.52M**	**$9.45M**	**$4.83M**
Design, permits, legal (12% / 10% / 8%)	$1,862k	$945k	$387k
Contingency (15% / 12% / 10%)	$2,327k	$1,133k	$483k
Tenant improvement allowances	$2,058k	$1,624k	$1,161k
Leasing commissions	$275k	$470k	$564k
Construction interest and carry	$1,202k	$851k	$530k
All-in cost	**$27.12M**	**$17.73M**	**$10.66M**

How the main lines were set:

- **Roof:** full TPO replacement at $12/SF, partial at $7/SF, or repairs at $2/SF, over a ~132,600 SF footprint.
- **HVAC:** 300–500 tons at $2,000–$2,500 a ton.
- **Parking:** about 305,000 SF of paving: full overlay, a 40% overlay and 60% seal mix, or seal and stripe.
- **Flood:** dry floodproofing of the perimeter with door shields, or nothing if a LOMA succeeds.
- **Allowances:** retail $15–$25/SF; event halls $10–$20/SF; kids' center $10–$25/SF; flex $3–$8/SF.
- **Commissions:** 5–6% of rent over the lease term.

Rent roll

Once leased, base rent runs $0.62M to $1.46M a year, about $4.90 to $11.40 per building SF. Retail is the largest line in every case. The halls and play center cover more than half the building but pay low rents per square foot, because their operators can afford only about 8–18% of their revenue in occupancy cost.

Part	Worst	Realistic	Best	Market evidence
Retail shops (31,500 SF)	$11.00 NNN, 70% leased = $243k	$13.50, 85% = $361k	$16.00, 92% = $464k	Nearby asking rents $10–$14.40 NNN; Memphis 2026 average $14.20, 5% vacancy
Flex (25,559 SF)	$6.00, 50% = $77k	$7.50, 80% = $153k	$9.00, 90% = $207k	Memphis flex $7.49 NNN; Northeast submarket $10.50; Pleasant View comp $7.00
Event halls (47,730 SF)	$4.00 = $191k	$6.00 = $286k	$8.00 = $382k	Operator rent ceiling about $4–$7 NNN from its sales; Atlanta banquet comp about $11.90 gross
Kids' recreation (18,000 SF)	$6.00 = $108k	$8.00 = $144k	$10.00 = $180k	Kept near 10–13% of the operator's realistic revenue
Fuel pad ground lease	None: no operator signs	$95k (regional operator)	$160k (credit operator)	Credit C-store ground leases $178k–$215k a year; independents lower
Summer Ave pad ground lease	None	None	$70k (quick-service restaurant)	Upside only
Base rent	**$0.62M**	**$1.04M**	**$1.46M**	

Lease-up follows a ramp. Realistic income reaches 35% of stabilized in year 1, 80% in year 2 and 100% in year 3. The worst case reaches 100% only in year 5.

Fuel is weaker than it looks: 13 stations sit within about 1.4 miles of the I-40 exit, and Murphy USA at 5856 Summer sets the local low price. A credit fuel tenant is the best case, not the base case.

Income, value and returns

Only the best case covers its debt. Realistic NOI of $0.87M falls just short of debt service on a 60% loan, so the property would need more equity or a smaller loan.

	Worst	Realistic	Best
Base rent less credit loss	$600k	$1,019k	$1,448k
Tenant reimbursements (NNN)	$401k	$363k	$316k
Effective gross income	**$1.00M**	**$1.38M**	**$1.76M**
Property tax	$189k	$162k	$148k
Insurance incl. flood	$97k	$70k	$48k
Common area (CAM)	$223k	$179k	$147k
Management (4.5–5% of income)	$50k	$69k	$79k
Reserves	$32k	$32k	$26k
Net operating income	**$0.41M**	**$0.87M**	**$1.32M**
Loan (55% / 60% / 65% of cost)	$14.91M	$10.64M	$6.93M
Annual debt service (25-year amortization)	$1,338k	$913k	$568k
Cash flow after debt	−$928k	−$42k	+$749k
Cash-on-cash	−7.6%	−0.6%	20.1%

Notes on the method:

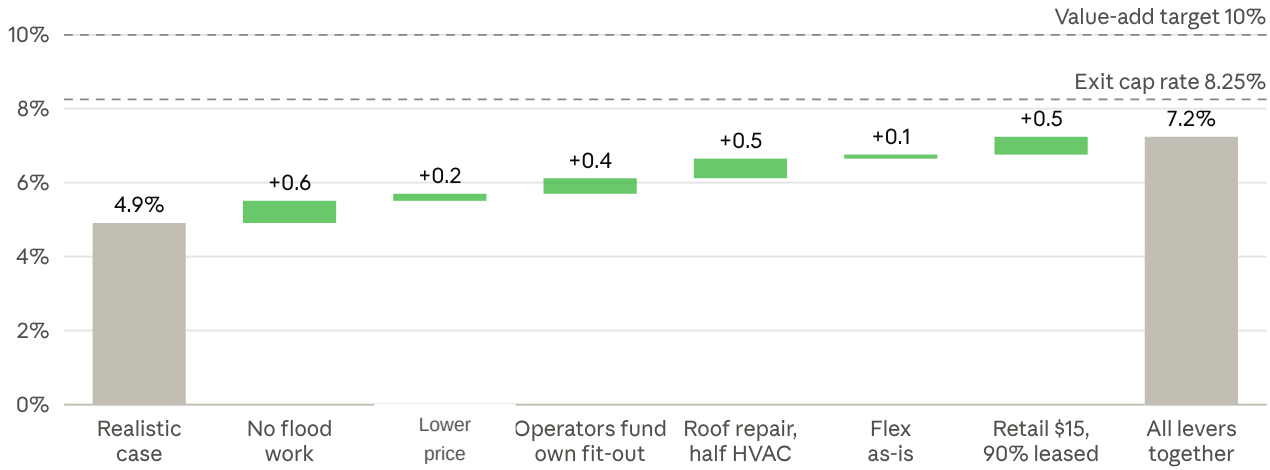
- **Property tax:** Memphis $2.58 plus Shelby County $2.70 per $100 of assessed value, at 40% of appraised value. That is about 2.11% a year of an appraisal assumed at $55–$70 per SF.
- **Loan rates:** 7.0–8.0% during construction and 6.5–7.5% permanent. The 10-year Treasury was 5.09% on 16 October 2026.
- **Value:** stabilized NOI divided by the exit cap rate (7.50%, 8.25% or 9.00%). Memphis retail trades in the low 7s; a mixed special-purpose center in a flood zone carries a premium.
- **IRR:** 10-year hold, a 1.5–2.5% yearly rent increase, and a sale at the exit cap less 2.5% selling cost.

Risks and levers

No single lever closes the gap. Together they lift the realistic yield to 7.2% and cut all-in cost to about $12.7M. That still sits below the 8.25% exit cap rate, so value would still trail cost.

Every lever together lifts the realistic yield from 4.9% to 7.2%, still short of 10%

Yield on cost, %. Green steps are the gain from each lever, applied in order.



Sycamore Square landlord model, realistic case, levers applied in order · 18 Oct 2026

The flood answer and operator-funded fit-outs are the two biggest levers, and both can be tested before closing. A plain as-is re-lease of the whole building to service and flex users (about $5 NNN, 85% leased, minimal work) yields about 6.0% on about $7.2M. The hall program has to beat that to be worth its extra risk.

Risk	Effect if it goes wrong	How to test it before committing
Building sits below the base flood elevation and the 50% rule applies	Floodproofing adds $1.5M–$3.0M, and insurance and lender terms tighten	Elevation certificate first; floodplain administrator's written method
Auction terms: fast close, no due-diligence contingency	Buyer carries every unknown in this study	Read the Ten-X purchase agreement; finish the elevation certificate, Phase I and zoning letter before bidding

Risk	Effect if it goes wrong	How to test it before committing
Event and recreation uses need a special use permit or planned development	Months of delay; conditions on hours, parking, buffers	Zoning verification letter; pre-application meeting
Event operator cannot pay $6/SF	At realistic bookings an outside operator can pay only about $1.90/SF and still earn 15%; yield on cost falls to about 3.8%. The halls are 37% of the building	Signed letter of intent from a hall operator before construction, or decide the owner runs the halls (see the operator study)
Retail leases slowly in a building set back from the road	Year-2 income stays near 50%	Pre-leasing target, for example 40% of retail signed before full build-out
Former quick-lube contamination on the frontage	Clean-up cost; fuel-pad delay	Phase I, then Phase II if flagged
Roof, HVAC or structure worse than assumed	Hard cost rises toward the worst case ($15.5M)	Roof and MEP condition survey during due diligence
Interest rates stay above 5% on the 10-year Treasury	Debt coverage stays below 1.0 in the realistic case	Size the loan to NOI, not to cost; plan for more equity

Assumptions and sources

The purchase price, appraisal basis, lease-up ramp and every cost line are planning assumptions until replaced by bids, a survey, an elevation certificate and signed leases. Market figures come from the pages below, opened on 18 October 2026. Where a source is national, it is noted.

- Avison Young teaser, Sycamore Square. Ten-X auction 0% occupancy, four parcels, 11.72 ac, 909 spaces, up to three outparcels.
- Marcus & Millichap via REBusiness, Memphis retail, Aug 2026. 2026 asking rent $14.20, vacancy 5%, cap rates in the low 7s.
- Marcus & Millichap, Memphis 3Q26 retail report. Vacancy over 20k SF about 6%; IKEA Cordova closing.

- CommercialCafe, 6343 Summer Ave and Shelby Crossing II. Nearby small-shop rents.
- Cushman & Wakefield, Memphis industrial Q3 2026. Flex $7.49 NNN, Northeast submarket $10.50.
- Terrapin, retail TI costs 2026. Second-generation TI $15–$35/SF (national).
- U.S. Treasury daily yields, Oct 2026 and CRE loan rates 2026. Loan pricing.
- Daily Memphian, 2025 city tax notice and Tri-State Defender, county rate. Tax rates.
- FEMA NFIP non-residential guide. $500k building and $500k contents limits.
- RSMeans Q2 2025 change notice. Memphis location factor about 0.89.
- Turner Building Cost Index Q2 2026. Costs up 5.2% year over year.
- Cushman & Wakefield, retail fit-out cost guide. Southeast retail fit-out reference.
- Investment Grade, Murphy USA Murfreesboro and Boulder Group Q2 2026 via MBA. Fuel ground-lease rents and net-lease cap rates.
- iExit, I-40 Exit 12 Memphis. Fuel competition.